MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)

FIRST SEMESTER EXAMINATION

(2024 ADMISION ONWARDS)

MG1DSCECO100 – Essentials of Economics-I

Duration: 2 hrs **Maximum Marks: 70**

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Short Answer Type Questions
Answer 10 Questions
Each question carries 2 marks

1. What is supply function? [U] [2]
2. Define consumer surplus [K] [4]
3. What is macro Economics and its scope [U] [1]
4. A consumer is willing to pay Rs.200 for a movie ticket. But the price of the movie ticket is Rs.150. Calculate consumer surplus [An] [4]
5. Define scarcity definition of economics [K] [1]
6. Explain the reasons for safeguarding strategic industries through trade restrictions [U] [5]
7. List out different forms of trade restrictions [K] [5]
8. Critically evaluate whether taxes on buyers or sellers are more effective at achieving social goals such as reducing consumption of harmful goods. [E] [4]
9. What causes market failure [U] [4]
10. What is price elasticity of demand?. At price Rs 4, the demand for the good is 25 units. Suppose price of the good increases to Rs 5, and as a result, the demand for the good falls to 20 units. Calculate the price elasticity. [A] [2, 3]
11. Define quota [K] [5]
12. Examine upward movement along demand curve. [A] [2,3]
13. How does price of a good affects its demand. [U] [2]

14. Name two types of competitive market structure [K] [2]

15. Explain any two significance of economics. [U] [1]

[10 x 2 = 20]

Part B
Short Essay Type Questions

Answer 10 Questions

Each question carries 5 marks

16. Differentiate between positive and normative analysis [U] [1]

17. Describe the relationship between sellers' costs, producer surplus, and the supply curve [U] [4]

18. Describe the drawbacks of imposing trade restrictions [U] [5]

19. Diagrammatically explain extension and contraction in demand [An] [3]

20. Explain law of demand with suitable diagram [U] [2]

21. Compare the benefits and drawbacks of protecting infant industries. [U] [5]

22. What are the methods of measurement of elasticity of supply? [U] [2]

23. Evaluate the allocation of resources determined by free markets. [E] [4]

24. Explain the reasons for safeguarding infant industries through trade restrictions [U] [5]

25. Explain shift in supply using suitable diagram. [U] [2]

26. Provide a real life example for producer surplus [A[[4]

27. Why do economists use theory and observations to explain economic events ? [An] [1]

28. Explain what consumer surplus is and how it is calculated [A] [4]

29. Describe the determinants of price elasticity of demand [U] [3]

30. Compare point method and arc methods of elasticity of demand. [U] [3]

[10 x 5 = 50]